SYNTHETIC DOCUMENT. This annual report describes a fictional company. It was generated for research on synthetic data; it is not a filing with the SEC and none of its contents describe a real company or security.

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-K

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the fiscal year ended December 31, 2024

or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

Commission File Number: 001-41491

Lonvental Systems, Inc.

(Exact name of registrant as specified in its charter)

Delaware	25-5987962
(State of incorporation)	(I.R.S. Employer Identification No.)

5895 Innovation Way, Minneapolis, Minnesota 55463

(Address of principal executive offices)

(747) 555-8365

(Registrant's telephone number)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading symbol	Name of each exchange on which registered
Common Stock, $0.01 par value	LONT	The Nasdaq Stock Market LLC

Large accelerated filer ☒ Accelerated filer ☐ Non-accelerated filer ☐ Smaller reporting company ☐ Emerging growth company ☐

Shell company (as defined in Rule 12b-2 of the Act): Yes ☐ No ☒

The aggregate market value of the voting stock held by non-affiliates of the registrant as of June 30, 2024 was approximately $120.8 billion. As of February 14, 2025, 549,314,462 shares of common stock were outstanding.

DOCUMENTS INCORPORATED BY REFERENCE

Portions of the registrant's Proxy Statement for the 2025 Annual Meeting of Stockholders are incorporated by reference into Part III.

TABLE OF CONTENTS

PART I

Item 1. Business

Item 1A. Risk Factors

Item 1B. Unresolved Staff Comments

Item 1C. Cybersecurity

Item 2. Properties

Item 3. Legal Proceedings

Item 4. Mine Safety Disclosures

PART II

Item 5. Market for Registrant's Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

Item 6. [Reserved]

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

Item 8. Financial Statements and Supplementary Data

Item 9. Changes in and Disagreements with Accountants on Accounting and Financial Disclosure

Item 9A. Controls and Procedures

Item 9B. Other Information

Item 9C. Disclosure Regarding Foreign Jurisdictions that Prevent Inspections

PART III

Item 10. Directors, Executive Officers and Corporate Governance

Item 11. Executive Compensation

Item 12. Security Ownership of Certain Beneficial Owners and Management and Related Stockholder Matters

Item 13. Certain Relationships and Related Transactions, and Director Independence

Item 14. Principal Accountant Fees and Services

PART IV

Item 15. Exhibits and Financial Statement Schedules

Item 16. Form 10-K Summary

PART I

Item 1. Business

General

Lonvental Systems, Inc. is a leading global provider of information technology solutions, software, and services. The Company was incorporated in the State of Delaware and maintains its corporate headquarters in the State of Minnesota. For decades, Lonvental Systems has been at the forefront of technological innovation, assisting enterprises, government agencies, and organizations of all sizes in navigating the complexities of digital transformation. Our comprehensive portfolio encompasses advanced computing infrastructure, intelligent software platforms, and a broad spectrum of technology services designed to optimize operational efficiency, enhance data security, and accelerate the adoption of emerging technologies such as artificial intelligence, machine learning, and edge computing.

In the fiscal year ended December 31, 2024, the Company generated total revenue of $44,790 million. We operate in a highly dynamic and rapidly evolving industry, where the convergence of cloud computing, pervasive connectivity, and advanced analytics is fundamentally reshaping how organizations operate and deliver value to their stakeholders. Our strategic vision is centered on empowering our customers to harness the full potential of their data across hybrid and multi-cloud environments. By combining our deep engineering expertise with a robust ecosystem of strategic partners, we deliver integrated solutions that address the most pressing challenges faced by modern enterprises.

Our business model is designed to provide end-to-end capabilities, from the foundational hardware that processes and stores data to the software that orchestrates and analyzes it, culminating in the services that ensure these systems are deployed and managed effectively. We continuously invest in research and development to maintain our competitive edge and anticipate the future needs of the market. Our commitment to sustainable and responsible innovation ensures that our products not only deliver superior performance but also align with environmental and social governance standards.

We manage our operations and report our financial results through three distinct but synergistic reportable segments: Cloud and Infrastructure Solutions, Software and Analytics, and Global Services. This organizational structure allows us to focus on specific market dynamics and customer requirements while leveraging our intellectual property and global scale across the entire enterprise.

Cloud and Infrastructure Solutions Segment

The Cloud and Infrastructure Solutions segment is the foundational pillar of our business, providing the essential hardware and software-defined technologies that power modern data centers, edge environments, and private clouds. As the volume, velocity, and variety of data continue to grow exponentially, organizations require highly scalable, resilient, and efficient infrastructure to support their mission-critical workloads. This segment delivers a comprehensive suite of compute, storage, and networking products engineered to meet these demanding requirements.

Our compute portfolio includes a wide range of industry-standard servers, from versatile rack and tower systems designed for small and medium-sized businesses to high-density, mission-critical platforms tailored for large enterprises and hyperscale data centers. We have heavily optimized our latest generation of servers to support artificial intelligence and machine learning workloads, integrating advanced accelerators and high-bandwidth interconnects that significantly reduce processing times for complex algorithms. Furthermore, our modular infrastructure solutions allow customers to dynamically compose compute, storage, and fabric resources through software, enabling a more agile and responsive IT environment that can rapidly adapt to changing business demands.

In the realm of data storage, we offer an extensive array of solutions that span block, file, and object storage architectures. Our all-flash and hybrid storage arrays are designed to deliver exceptional performance, high availability, and comprehensive data services, including deduplication, compression, and automated tiering. As data increasingly resides outside the traditional data center, our edge storage solutions provide ruggedized and compact form factors that capture and process data closer to the point of generation. We also provide software-defined storage solutions that abstract the storage controller logic from the underlying hardware, offering customers greater flexibility and cost-efficiency in managing their data repositories.

Networking is a critical component of our infrastructure offerings, providing the connectivity required to seamlessly move data across dispersed environments. Our networking portfolio includes data center switches, campus core and edge switches, and wireless local area network products. We have deeply integrated security and automation capabilities into our networking solutions, allowing administrators to implement zero-trust security models and streamline network provisioning through intent-based networking principles.

To address the growing preference for consumption-based IT, we offer many of our infrastructure solutions through flexible deployment models. This approach allows customers to acquire hardware and software resources on a pay-per-use basis, aligning their infrastructure costs more closely with their actual usage and reducing the need for large upfront capital expenditures. This transition toward as-a-service delivery is a key strategic priority for the Cloud and Infrastructure Solutions segment, driving recurring revenue streams and fostering deeper, more continuous relationships with our customers.

Software and Analytics Segment

The Software and Analytics segment develops and markets a broad portfolio of enterprise software solutions that enable organizations to extract actionable insights from their data, automate complex business processes, and secure their digital assets. In an era where data is widely recognized as a critical strategic asset, our software platforms provide the necessary tools to govern, analyze, and monetize this information across diverse operating environments.

Our data management and analytics software forms the core of this segment. We offer comprehensive relational and non-relational database management systems, data integration tools, and advanced analytics platforms. These solutions are designed to handle massive datasets in real-time, providing business intelligence and predictive analytics capabilities that empower decision-makers. Our artificial intelligence and machine learning frameworks are seamlessly integrated into these platforms, allowing data scientists and developers to build, train, and deploy sophisticated models with ease. By democratizing access to artificial intelligence, we help our customers uncover hidden patterns, optimize supply chains, and personalize customer experiences.

Enterprise automation and orchestration software is another critical component of our portfolio. As IT environments become increasingly complex, spanning multiple public clouds and on-premises data centers, manual management processes are no longer viable. Our hybrid cloud management platforms provide a unified control plane, enabling IT administrators to provision resources, monitor performance, and enforce compliance policies across disparate environments from a single interface. Additionally, our robotic process automation and IT service management solutions streamline routine administrative tasks, reducing operational overhead and minimizing the risk of human error.

Cybersecurity is embedded throughout our software portfolio, but we also offer dedicated security software designed to protect organizations from an evolving threat landscape. Our security solutions encompass identity and access management, endpoint protection, network security, and security information and event management. Utilizing advanced behavioral analytics and threat intelligence feeds, our software can detect and respond to anomalous activities in real-time, mitigating the impact of cyberattacks and ensuring the integrity and confidentiality of customer data.

The majority of our software solutions are available through subscription-based licensing models, including software-as-a-service deployments hosted in our secure cloud environments. This transition from traditional perpetual licenses to subscription models provides our customers with greater flexibility, faster access to new features, and simplified lifecycle management. It also provides the Company with highly predictable and recurring revenue streams that enhance our long-term financial stability.

Global Services Segment

The Global Services segment provides a comprehensive suite of consulting, implementation, support, and managed services that assist our customers in maximizing the value of their technology investments. Technology alone is rarely sufficient to drive meaningful business transformation; it must be aligned with strategic objectives, integrated with existing systems, and supported by skilled professionals. Our Global Services segment bridges the gap between technology acquisition and business outcomes.

Our consulting and advisory services engage with customers at the executive level to develop comprehensive digital transformation strategies. We assess their current IT maturity, identify areas for improvement, and design future-state architectures that align with their business goals. Our consultants possess deep industry-specific expertise, allowing us to tailor our recommendations to the unique regulatory and competitive landscapes of sectors such as healthcare, financial services, manufacturing, and the public sector.

Implementation and integration services focus on the seamless deployment of our hardware and software solutions, as well as their integration with third-party systems. Our project management professionals and technical engineers utilize proven methodologies to minimize disruption during complex migrations, ensuring that new technologies are brought online efficiently and securely. We also offer application modernization services, assisting customers in refactoring legacy applications to leverage cloud-native architectures and microservices.

Our support services provide essential maintenance and troubleshooting for our hardware and software products. We offer tiered support levels, ranging from basic hardware replacement to proactive, personalized support featuring dedicated technical account managers and predictive failure analytics. By leveraging telemetry data from connected devices, our support infrastructure can often identify and resolve potential issues before they impact customer operations, significantly improving system uptime and reliability.

Managed services represent a rapidly growing area within this segment. Many organizations are choosing to offload the day-to-day management of their IT environments to trusted partners, allowing their internal teams to focus on strategic initiatives. We offer a wide range of managed services, including managed cloud infrastructure, managed security services, and managed workplace solutions. Through our global network of delivery centers, we provide around-the-clock monitoring, administration, and optimization of our customers' IT assets, delivering guaranteed service levels and predictable operational costs.

Customers

Lonvental Systems serves a highly diverse, global customer base that spans virtually every industry and sector. Our customers range from small and medium-sized businesses to the largest multinational corporations, as well as government agencies, educational institutions, and healthcare organizations. This broad diversification mitigates our exposure to economic fluctuations within any single industry or geographic region.

In the enterprise sector, we partner with leading organizations in financial services, telecommunications, manufacturing, retail, and energy. These customers typically require highly scalable, secure, and reliable technology solutions to support their core business operations and drive digital innovation. We engage deeply with these organizations, often acting as a strategic partner rather than a transactional vendor.

The public sector represents a significant portion of our customer base, including federal, state, and local governments, as well as defense and intelligence agencies. These customers have stringent security, compliance, and procurement requirements. We have established specialized sales and support teams dedicated to the public sector, ensuring we meet their unique needs and maintain the necessary security clearances and certifications.

Small and medium-sized businesses rely on our technology to compete effectively in the digital economy. For this customer segment, we focus on delivering solutions that are easy to deploy, manage, and scale, often leveraging our channel partners to provide local expertise and support.

No single customer accounted for a material percentage of our consolidated net revenue in the fiscal year ended December 31, 2024. The loss of any single customer would not have a material adverse effect on the Company's overall financial condition or results of operations.

Sales and Marketing

We utilize a multi-faceted go-to-market strategy that combines a highly skilled direct sales force with a robust global network of channel partners. This hybrid approach enables us to achieve broad market coverage while maintaining deep, strategic relationships with our largest and most complex customers.

Our direct sales organization is structured primarily by customer size and industry vertical, allowing our account executives to develop specialized knowledge of the specific business challenges and regulatory environments faced by their clients. The direct sales team is supported by technical sales specialists, systems engineers, and solution architects who provide deep product expertise, conduct technology demonstrations, and design customized architectures. We maintain direct sales offices in major metropolitan areas around the world to ensure close proximity to our key accounts.

Our channel partner ecosystem is a critical component of our sales strategy, extending our reach into new markets and customer segments. This network includes distributors, value-added resellers, global system integrators, independent software vendors, and

managed service providers. We invest heavily in our partner programs, providing training, certification, co-marketing funds, and technical support to ensure our partners are well-equipped to sell, implement, and support our solutions. Global system integrators and independent software vendors are particularly important for embedding our technology into broader, industry-specific solutions and driving the adoption of our software and cloud platforms.

Our marketing initiatives are designed to build brand awareness, generate demand for our products and services, and position Lonvental Systems as a thought leader in the technology industry. We employ a mix of digital marketing, industry events, public relations, and targeted account-based marketing campaigns. We host annual technology conferences that bring together thousands of customers, partners, and industry analysts to showcase our latest innovations, share best practices, and foster community engagement.

Competition

The information technology industry is intensely competitive, highly fragmented, and subject to rapid technological change. We face formidable competition across all our reportable segments from a variety of well-established and emerging companies. Our competitors include large, diversified technology providers, specialized hardware manufacturers, pure-play software vendors, public cloud service providers, and global consulting firms.

In the Cloud and Infrastructure Solutions segment, we compete with other major original equipment manufacturers of servers, storage, and networking equipment, as well as white-box manufacturers who supply commoditized hardware directly to hyperscale data centers. Furthermore, the aggressive expansion of public cloud providers presents a significant competitive dynamic, as some customers choose to migrate workloads entirely to the public cloud rather than investing in on-premises infrastructure. We compete in this space by emphasizing the economic, security, and performance benefits of hybrid cloud architectures and by offering our infrastructure through flexible, consumption-based models.

In the Software and Analytics segment, competition is driven by the rapid pace of innovation in artificial intelligence, data management, and cybersecurity. We compete against large enterprise software companies, specialized data analytics firms, and a multitude of agile startup companies. Open-source software also represents a competitive alternative in certain functional areas. We differentiate our software offerings through deep integration across our portfolio, robust security features, and our ability to seamlessly manage data across heterogeneous environments.

In the Global Services segment, we compete with global IT consulting firms, regional system integrators, and the professional services arms of other technology vendors. Competition in this segment is based on the depth of technical expertise, industry knowledge, global delivery capabilities, and the ability to consistently deliver projects on time and within budget.

Across all segments, the principal competitive factors include technological innovation, product performance and reliability, security features, total cost of ownership, quality of customer support, and the strength of the partner ecosystem. We believe our comprehensive portfolio, deep engineering heritage, and global scale position us favorably to compete effectively in this dynamic landscape.

Seasonality

Our business is subject to seasonal fluctuations that affect our revenue and cash flows. Historically, we have experienced our highest volume of orders and revenue in our fourth fiscal quarter. This pattern is primarily driven by the capital budgeting cycles of our enterprise and public sector customers, who frequently exhaust their remaining annual information technology budgets toward the end of the calendar year. Conversely, our first fiscal quarter typically experiences a sequential decline in revenue as new budget cycles are initiated and procurement activities temporarily slow down. Additionally, the timing of large, multi-year software contracts and infrastructure deployments can cause variability in our financial results from quarter to quarter. We continually monitor these seasonal trends to manage our inventory levels, supply chain operations, and workforce planning effectively.

Intellectual Property

Intellectual property is a vital asset to our business and a key driver of our competitive advantage. We rely on a combination of patents, copyrights, trademarks, trade secrets, and confidentiality agreements to protect our proprietary technologies, software code, and manufacturing processes.

We maintain a robust global patent portfolio that covers a wide range of innovations in computer architecture, data storage algorithms, networking protocols, software automation, and artificial intelligence. We actively file new patent applications in the United States and foreign jurisdictions to protect our ongoing research and development investments. While our patent portfolio is extensive and important to our overall operations, we do not believe that our business is fundamentally dependent on any single patent or group of related patents.

We also hold numerous trademarks worldwide, which are essential for protecting our brand identity and the recognition of our product lines. We vigorously enforce our trademark rights against unauthorized use to maintain the integrity of our brand. Our software products, documentation, and other written materials are protected by copyright laws.

Furthermore, we rely heavily on trade secrets and proprietary know-how, particularly regarding our manufacturing processes, hardware designs, and software source code. We protect these trade secrets through physical and logical security measures, as well as strict confidentiality and non-disclosure agreements with our employees, contractors, partners, and suppliers.

In the ordinary course of business, we enter into cross-licensing agreements with other technology companies to ensure freedom to operate and to facilitate the development of interoperable solutions. We also license certain technologies from third parties that are integrated into our products. We continually monitor the market for potential infringement of our intellectual property rights and will take appropriate legal action to defend our assets when necessary.

Government Regulation

As a global corporation, Lonvental Systems is subject to a complex and evolving array of laws and regulations in the United States and the numerous international jurisdictions in which we operate. These regulations impact various aspects of our business, including data privacy, cybersecurity, international trade, environmental protection, and corporate governance.

Data privacy and security regulations are of paramount importance to our operations and our customers. We are subject to comprehensive privacy laws, such as the General Data Protection Regulation in the European Union and the California Consumer Privacy Act in the United States, as well as sector-specific regulations governing health and financial data. These laws impose strict obligations regarding the collection, processing, storage, and transfer of personal data. We have implemented comprehensive global privacy programs and technical controls to ensure compliance and to assist our customers in meeting their own regulatory obligations. The regulatory landscape for data privacy is rapidly changing, and compliance requires significant ongoing investment and management attention.

Our international operations subject us to various trade and export control laws, including those administered by the U.S. Department of Commerce and the U.S. Department of the Treasury. These regulations govern the export, re-export, and transfer of our products, software, and technology to certain countries, entities, and individuals. We maintain rigorous compliance programs to ensure adherence to economic sanctions and export controls. Changes in trade policies, the imposition of new tariffs, or escalating geopolitical tensions could restrict our ability to sell products in certain markets or disrupt our global supply chain.

We are also subject to numerous environmental regulations related to the design, manufacturing, recycling, and disposal of our hardware products. These include directives on the restriction of hazardous substances, electronic waste management, and energy efficiency standards. We are committed to environmental sustainability and proactively design our products to minimize their environmental impact throughout their lifecycle. We operate global take-back and recycling programs to ensure responsible end-of-life management for our technology assets. Compliance with environmental regulations requires continuous monitoring of legislative developments worldwide to ensure our products meet all applicable standards prior to market entry.

Human Capital

Our employees are the foundation of our success and the driving force behind our innovation. As of December 31, 2024, Lonvental Systems employed about 123,500 people globally. Our workforce is highly skilled, comprising software engineers, hardware designers, data scientists, sales professionals, and business support staff distributed across our global operations.

We operate in a highly competitive labor market for technology talent. Our human capital strategy is focused on attracting, developing, and retaining the best minds in the industry. We offer comprehensive and competitive compensation and benefits packages, which include base salary, performance-based bonuses, equity awards, and extensive health and wellness programs. We believe that aligning

employee compensation with the Company's financial performance and long-term strategic goals fosters a culture of ownership and accountability.

Diversity, equity, and inclusion are core values at Lonvental Systems. We believe that a diverse workforce drives better decision-making, enhances creativity, and reflects the global customer base we serve. We have implemented targeted initiatives to increase the representation of underrepresented groups at all levels of the organization, particularly in technical and leadership roles. Our employee resource groups provide support, mentorship, and community-building opportunities, contributing to an inclusive workplace culture where all employees feel valued and empowered to achieve their full potential.

We are deeply committed to the continuous learning and professional development of our employees. We provide extensive training programs, technical certifications, and leadership development courses through our internal learning platforms. We also offer tuition reimbursement programs to support employees pursuing advanced degrees. By investing in the growth and upskilling of our workforce, we ensure that our teams possess the cutting-edge skills required to navigate the rapidly changing technology landscape.

The health, safety, and well-being of our employees are paramount. We maintain robust occupational health and safety programs at all our facilities worldwide, ensuring compliance with local regulations and industry best practices. We also offer flexible work arrangements and comprehensive mental health resources to support our employees in maintaining a healthy work-life balance.

Available Information

Our internet website address is www.lonventalsystems.com. We make available, free of charge through our website, our Annual Reports on Form 10-K, Quarterly Reports on Form 10-Q, Current Reports on Form 8-K, and amendments to those reports filed or furnished pursuant to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, as soon as reasonably practicable after we electronically file such material with, or furnish it to, the Securities and Exchange Commission. The SEC maintains an internet site (www.sec.gov) that contains reports, proxy and information statements, and other information regarding issuers that file electronically with the SEC.

We also post our corporate governance guidelines, our code of business conduct and ethics, and the charters of the committees of our Board of Directors on the investor relations section of our website. The information contained on, or accessible through, our website is not incorporated by reference into this Annual Report on Form 10-K or any other filing we make with the SEC.

Item 1A. Risk Factors

Investing in our securities involves a high degree of risk. You should carefully consider the following risk factors, together with all of the other information included in this Annual Report, before making an investment decision. The risks and uncertainties described below are not the only ones we face. Additional risks and uncertainties not presently known to us or that we currently believe to be immaterial may also adversely affect our business. If any of the following risks actually occur, our business, financial condition, results of operations, and cash flows could be materially and adversely affected, and the trading price of our common stock could decline.

Risks Related to Our Business and Industry

Our industry is highly competitive, and if we fail to compete effectively, our revenue, margins, and market share could decline.
The markets for our Cloud and Infrastructure Solutions, Software and Analytics, and Global Services are intensely competitive and subject to rapid technological change. We face formidable competition from a wide array of companies, ranging from large, diversified multinational technology conglomerates to highly specialized pure-play software vendors and emerging startups. In the infrastructure space, we compete with other major hardware manufacturers and hyperscale cloud providers who increasingly design their own proprietary silicon and hardware architectures. In the software and analytics market, our database, artificial intelligence, and cybersecurity solutions face aggressive competition from both proprietary and open-source alternatives. Many of our competitors possess substantial financial, technical, and marketing resources, and some may offer their products at significantly lower prices or bundle their solutions in ways that disadvantage our standalone offerings. If we are unable to differentiate our products through superior performance, reliability, security, and customer service, we may be forced to reduce our prices, which would compress our gross margins and materially adversely affect our financial results.

Rapid technological change and evolving industry standards could render our products and services obsolete or uncompetitive.
The information technology sector is characterized by continuous and rapid innovation, shifting customer preferences, and the frequent introduction of new technologies. The ongoing transition toward edge computing, multi-cloud environments, and artificial intelligence represents significant architectural shifts in how enterprise IT is consumed and managed. Our future success depends on our ability to accurately anticipate these market transitions and continually enhance our existing portfolio while developing entirely new solutions. If we fail to recognize the importance of emerging technologies, or if our competitors are faster to market with superior innovations, our product offerings could become obsolete. Furthermore, the development of advanced computing infrastructure and complex enterprise software requires extended lead times. If we misjudge the trajectory of industry standards or customer requirements during these development cycles, we may invest heavily in technologies that fail to achieve broad market acceptance, thereby impairing our competitive position and financial performance.

Our substantial investments in research and development may not yield the expected technological advancements or financial returns.
To maintain our competitive edge and drive future growth, we allocate a significant portion of our revenue to research and development activities. These investments are directed toward enhancing our core hardware platforms, advancing our artificial intelligence and machine learning frameworks, and expanding our software-as-a-service capabilities. However, the research and development process is inherently uncertain, costly, and time-consuming. We may encounter unforeseen technical hurdles, experience delays in product development, or fail to achieve the performance specifications required by our customers. Even if we successfully develop new technologies, there is no guarantee that they will be commercially successful or that they will generate sufficient revenue to offset the substantial costs incurred during their development. A failure to effectively monetize our research and development expenditures could diminish our operating margins, decrease our market share, and materially adversely affect our long-term financial condition and results of operations.

Our ongoing transition to consumption-based and subscription-based business models may initially depress our revenue growth and negatively impact our short-term cash flows.
We are actively transitioning a significant portion of our business from traditional perpetual licensing and upfront hardware sales to flexible, consumption-based deployment models and software-as-a-service subscriptions. While this strategic shift is designed to generate more predictable, recurring revenue streams over the long term, it alters the timing of our revenue recognition and cash collections. Under our traditional models, we recognized the majority of revenue and collected cash shortly after the delivery of hardware or software licenses. Under subscription and as-a-service models, revenue is recognized ratably over the term of the agreement, and cash is typically collected in periodic installments. As this transition accelerates, the deferral of revenue recognition could cause our reported revenue growth to appear constrained in the near term, even if the total contract value of our customer engagements is increasing. Additionally, the upfront costs associated with acquiring and deploying the infrastructure necessary to support these as-a-service offerings may negatively impact our operating cash flows and profitability during the transition period.

The integration of artificial intelligence and machine learning into our product portfolio introduces novel operational, ethical, and regulatory risks.
We are heavily optimizing our hardware and software solutions to support artificial intelligence workloads and integrating advanced machine learning capabilities directly into our platforms. While these technologies offer significant benefits, they also introduce complex risks. If the artificial intelligence algorithms deployed in our platforms produce biased, inaccurate, or unintended outcomes, we could face significant reputational damage, customer dissatisfaction, and potential legal liability. Furthermore, the regulatory landscape governing artificial intelligence is rapidly evolving, with various jurisdictions proposing or implementing strict frameworks that dictate how these technologies can be developed, trained, and deployed. Compliance with these emerging regulations may require us to substantially modify our product designs, increase our compliance expenditures, or restrict the availability of certain features in specific markets. The massive data requirements necessary to train advanced models also elevate our exposure to data privacy and security vulnerabilities. Any failure to responsibly manage the ethical implications or regulatory requirements of our artificial intelligence initiatives could materially adversely affect our market position and business operations.

Our business is highly dependent on global enterprise IT spending, which is sensitive to macroeconomic conditions and business cycles.
Our financial performance is closely tied to the capital expenditure budgets and overall financial health of our enterprise, government, and organizational customers. Demand for our Cloud and Infrastructure Solutions, Software and Analytics, and Global Services is heavily influenced by broader macroeconomic conditions, including inflation, interest rates, employment levels, and economic growth.

In times of economic uncertainty or recession, organizations frequently delay, reduce, or cancel their information technology investments to conserve capital. A global or regional economic slowdown could lead to longer sales cycles, increased pricing pressure, and a higher rate of customer defaults on accounts receivable. Because our solutions often represent significant capital investments for our customers, our revenue is particularly vulnerable to sudden shifts in corporate spending sentiment. Prolonged economic stagnation or a severe downturn in major global economies would materially and adversely affect our business, financial condition, and results of operations.

Risks Related to Our Operations

Disruptions in our global supply chain or shortages of critical components could delay product manufacturing and increase our costs.
The manufacturing of our Cloud and Infrastructure Solutions relies on a complex, global supply chain to source raw materials, electronic components, and finished sub-assemblies. We utilize basic materials such as aluminum, steel, copper, and precious metals, alongside highly specialized components like advanced microprocessors, memory chips, and custom application-specific integrated circuits. The availability and pricing of these materials and components are subject to significant volatility due to factors beyond our control, including geopolitical tensions, trade restrictions, natural disasters, and fluctuations in global demand. We have in the past experienced, and may in the future experience, shortages of critical semiconductor components that limit our ability to meet customer demand. If we are unable to secure sufficient quantities of necessary components on a timely basis and at reasonable prices, we may face production delays, increased manufacturing costs, and an inability to fulfill customer orders. Such supply chain disruptions could severely damage our customer relationships, result in lost revenue, and negatively impact our gross profit margins.

We maintain significant inventory levels, exposing us to risks of inventory obsolescence and valuation markdowns.
To ensure the timely delivery of our hardware products and mitigate potential supply chain disruptions, we must procure components and finished goods in advance of anticipated customer demand. Our consolidated balance sheets reflect substantial inventory balances. The information technology hardware sector is characterized by rapid technological obsolescence and frequent product transitions. If we inaccurately forecast customer demand, or if sudden shifts in technology standards render our existing products outdated, we may accumulate excess inventory. In such events, we would be required to record inventory write-downs to reflect the lower of cost or net realizable value, which would directly reduce our gross profit and net income. Conversely, if we underestimate demand and fail to maintain adequate inventory levels, we may experience stockouts and delayed shipments, which could harm our reputation and result in the loss of competitive market share.

Cybersecurity breaches and targeted cyberattacks against our internal systems could compromise sensitive data and disrupt our operations.
As a leading provider of information technology solutions, we are a frequent and high-profile target for cyberattacks by malicious actors, including state-sponsored groups, organized criminal syndicates, and hacktivists. We maintain and process vast amounts of proprietary data, intellectual property, and sensitive customer information across our internal networks and cloud environments. Despite our significant investments in cybersecurity defenses, our systems may be vulnerable to advanced persistent threats, ransomware, phishing schemes, and zero-day exploits. A successful breach of our internal networks could result in the theft of our valuable intellectual property, the exposure of confidential customer data, and severe disruptions to our daily operations. Such an event would cause profound reputational damage, erode customer trust, and expose us to substantial legal liability, regulatory fines, and costly remediation efforts. The financial and operational impacts of a major cybersecurity incident would materially adversely affect our business and results of operations.

Vulnerabilities or defects in our products and services could cause significant harm to our customers and subject us to extensive liability.
Our hardware platforms and software solutions are highly complex and are deployed in our customers' most critical operational environments. Despite rigorous testing and quality assurance processes, our products may contain undetected defects, software bugs, or security vulnerabilities that only become apparent after deployment. If our products fail to perform as designed, or if vulnerabilities in our software are exploited by malicious actors to breach our customers' networks, the consequences can be severe. Our customers may experience system downtime, data loss, or compromised security, leading to significant financial losses and operational paralysis. In such scenarios, we could face substantial warranty claims, breach of contract litigation, and demands for indemnification. Furthermore, the discovery of significant vulnerabilities in our products could severely damage our brand reputation, prompting existing customers to migrate to competing solutions and deterring prospective customers from adopting our technologies.

Our success depends on our ability to attract, retain, and motivate highly skilled personnel in a fiercely competitive labor market.
The execution of our strategic initiatives relies heavily on the expertise and dedication of our global workforce. We require highly specialized talent, including hardware engineers, software developers, data scientists, artificial intelligence experts, and experienced management consultants for our Global Services segment. The market for these skilled professionals is exceptionally competitive, particularly in the geographic regions where our major research and development centers are located. We may face difficulties in recruiting the personnel necessary to drive our innovation agenda, or we may experience high turnover rates among our existing employees. To remain competitive as an employer, we may be required to significantly increase our compensation and benefits packages, which would elevate our operating expenses. If we fail to attract and retain the critical talent required to develop our technologies and serve our customers, our ability to compete effectively and achieve our business objectives would be severely compromised.

We rely on third-party channel partners, distributors, and systems integrators to generate a significant portion of our revenue.
A substantial portion of our sales is facilitated through an extensive network of indirect channel partners, including value-added resellers, distributors, and global systems integrators. Our reliance on these third parties reduces our direct control over the sales process and customer relationship management. If we fail to maintain strong, mutually beneficial relationships with our channel partners, or if our competitors offer them more lucrative financial incentives, our partners may reduce their focus on our products or shift their allegiance to competing solutions. Additionally, the financial health of our channel partners is critical; if our partners experience liquidity issues or operational disruptions, our ability to distribute our products efficiently could be impaired. A breakdown in our channel ecosystem would hinder our market reach, slow our revenue growth, and materially adversely affect our financial performance.

Our Global Services segment involves complex, long-term customer engagements that are subject to cost overruns and execution risks.
Our Global Services segment provides consulting, implementation, and managed services that are often delivered through complex, multi-year contracts. These engagements require precise project management, accurate cost estimation, and the seamless coordination of global delivery teams. If we fail to accurately estimate the resources and time required to complete a project, or if we encounter unforeseen technical challenges during implementation, we may experience significant cost overruns. Many of our managed services contracts include stringent service level agreements that mandate specific performance metrics and system uptime. A failure to meet these contractual obligations can result in financial penalties, reduced margins, and early contract termination. Furthermore, the profitability of our Global Services segment is highly sensitive to the utilization rates of our consulting professionals; if we are unable to maintain high utilization due to volatile demand or inefficient resource allocation, our operating margins in this segment will decline.

Risks Related to Strategic Initiatives and Intangible Assets

We have a significant amount of goodwill and intangible assets on our balance sheet, and any future impairment could negatively impact our financial results.
A substantial portion of our total assets consists of goodwill and other intangible assets, which primarily arose from our historical strategic acquisitions. We evaluate our goodwill and indefinite-lived intangible assets for impairment annually, or more frequently if events or changes in circumstances indicate that the carrying value may not be recoverable. The impairment testing process requires our management to make significant estimates and assumptions regarding future cash flows, long-term growth rates, discount rates, and market multiples. If the businesses we have acquired fail to achieve their projected operational performance, or if adverse changes in macroeconomic conditions, industry trends, or our overall market capitalization occur, we may be required to record a non-cash impairment charge. Such an impairment charge would directly reduce our operating income and net income in the period it is recognized. Given the substantial value of goodwill currently recorded on our consolidated balance sheets, any future impairment could have a material adverse effect on our reported financial condition and negatively influence market perceptions of our business.

Our strategy includes pursuing strategic acquisitions, which involves complex integration challenges and may not yield the anticipated benefits.
To accelerate our technological capabilities and expand our market presence, we continuously evaluate potential acquisitions of complementary businesses, software platforms, and engineering teams. However, the successful execution of this strategy involves significant risks. Identifying suitable acquisition targets, negotiating favorable terms, and securing regulatory approvals can be time-consuming and costly. Once an acquisition is completed, the integration of the acquired company's operations, technologies, and

personnel into our existing infrastructure is a complex and highly sensitive process. We may encounter difficulties in aligning disparate corporate cultures, retaining key employees of the acquired business, and integrating distinct IT systems and financial reporting processes. If we fail to integrate acquired businesses efficiently, we may not realize the anticipated synergies, cost savings, or revenue enhancements. Furthermore, acquisitions can divert management's attention from our core operations and require the assumption of unforeseen liabilities, all of which could materially adversely affect our business and financial results.

Divestitures and restructuring activities may disrupt our operations and fail to achieve desired cost savings or strategic objectives.
From time to time, we may decide to divest non-core product lines or restructure our operations to align our cost structure with changing market realities. These activities carry inherent risks. Divestitures can be complex to execute, requiring the separation of intertwined IT systems, intellectual property, and shared services. We may not be able to locate buyers willing to pay acceptable prices, or the transition process may disrupt our remaining business operations and confuse our customer base. Similarly, restructuring initiatives designed to improve operational efficiency may result in significant severance costs, asset write-offs, and a temporary decline in employee morale and productivity. If our divestitures or restructuring programs are poorly executed, they may fail to deliver the expected financial benefits and could inadvertently weaken our competitive position in key markets.

Risks Related to Financing, Capital Structure, and Macroeconomics

Our substantial level of long-term debt could adversely affect our financial health and limit our operational flexibility.
We have a significant amount of outstanding long-term indebtedness recorded on our consolidated balance sheets. This high degree of leverage requires that a considerable portion of our cash flows from operating activities be dedicated to the payment of interest and principal on our debt, thereby reducing the availability of our cash to fund research and development, capital expenditures, strategic acquisitions, and shareholder return programs. Our substantial debt load also increases our vulnerability to general adverse economic and industry conditions and may place us at a competitive disadvantage compared to competitors with less leverage. Our ability to make scheduled payments on or to refinance our debt obligations depends on our future financial and operating performance, which is subject to prevailing economic conditions and various other factors beyond our control. If our cash flows and capital resources are insufficient to fund our debt service obligations, we may be forced to reduce or delay investments, sell assets, seek additional capital, or restructure our indebtedness. These alternative measures may not be successful and could have a material adverse effect on our financial condition.

Fluctuations in interest rates could increase our borrowing costs and negatively impact our financial results.
A portion of our long-term debt and our revolving credit facilities may bear interest at variable rates. Consequently, we are exposed to risks associated with fluctuations in interest rates. If macroeconomic conditions prompt central banks to maintain or increase benchmark interest rates, our interest expense on variable-rate debt will rise, directly reducing our net income and operating cash flows. Furthermore, a high interest rate environment increases the cost of refinancing our existing fixed-rate debt as it matures. While we may employ interest rate swaps or other derivative instruments to hedge a portion of our interest rate exposure, these financial instruments may not be fully effective in mitigating our risk and expose us to the credit risk of the counterparties. An inability to effectively manage our interest rate exposure could materially adversely affect our financial condition and results of operations.

Our global operations expose us to risks associated with foreign currency exchange rate fluctuations.
We conduct a significant portion of our business across international markets, generating substantial revenue and incurring significant expenses in currencies other than the U.S. dollar. As a result, our financial statements are subject to the translation effects of foreign currency exchange rate movements. When the U.S. dollar strengthens against other major currencies, our internationally generated revenue and profits translate into fewer U.S. dollars, which can negatively impact our reported consolidated financial results. Conversely, if the U.S. dollar weakens, our foreign-denominated operating expenses will translate into higher U.S. dollar costs. Additionally, we are exposed to transaction risks when our subsidiaries execute sales or purchases in currencies other than their functional currency. Although we utilize foreign currency forward contracts and other hedging strategies to mitigate some of this volatility, these measures cannot fully eliminate our exposure. Significant and unpredictable fluctuations in exchange rates could therefore have a material adverse effect on our revenue, gross margins, and overall financial performance.

Changes in global tax laws or adverse outcomes of tax audits could increase our effective tax rate and reduce our profitability.
As a multinational corporation, we are subject to complex income tax laws and regulations in the United States and numerous foreign jurisdictions. Our effective tax rate is highly dependent on the geographic distribution of our pre-tax earnings, the availability of tax credits, and the varying statutory tax rates across the countries in which we operate. Governments worldwide are increasingly focused

on reforming international tax frameworks, including the implementation of global minimum tax rules spearheaded by the Organization for Economic Co-operation and Development. The adoption of these new tax policies, or changes to existing corporate tax rates and regulations in the jurisdictions where we conduct significant business, could substantially increase our global tax liabilities. Furthermore, our tax filings are routinely subject to audit by the Internal Revenue Service and other domestic and international tax authorities. If these authorities successfully challenge our tax positions, transfer pricing policies, or the allocation of our global income, we could be assessed significant additional taxes, interest, and penalties, which would materially adversely affect our net income and cash flows.

Risks Related to Legal, Regulatory, and Compliance Matters

We are subject to complex and evolving data privacy and protection laws, and compliance with these regulations is costly and resource-intensive.

The global regulatory environment surrounding data privacy and security is highly complex, fragmented, and constantly evolving. We are subject to stringent data protection frameworks, including the General Data Protection Regulation in the European Union and the California Consumer Privacy Act in the United States, among numerous other national and state-level laws. These regulations impose strict obligations regarding the collection, processing, storage, and transfer of personal data, and grant individuals expansive rights over their information. Compliance with these diverse regulations requires us to continuously adapt our software platforms, internal IT systems, and business processes, resulting in significant administrative and engineering costs. Furthermore, the interpretation and enforcement of these laws remain fluid. Any actual or perceived failure by us, or our third-party service providers, to comply with applicable data privacy laws could result in severe regulatory investigations, massive financial penalties, class-action litigation, and profound reputational damage, all of which would materially adversely affect our business operations and financial condition.

Export controls, economic sanctions, and international trade regulations could restrict our ability to sell our products in certain markets.

Our global operations require compliance with a complex web of U.S. and international trade laws, including export controls, economic sanctions, and customs regulations. The U.S. government has increasingly utilized export controls and sanctions to address national security and foreign policy concerns, placing stringent restrictions on the export of advanced computing hardware, semiconductor technologies, and artificial intelligence software to specific countries, entities, and individuals. Because our Cloud and Infrastructure Solutions and Software and Analytics segments involve highly sophisticated technologies, many of our products are subject to these stringent export licensing requirements. Changes in trade policies, the imposition of new tariffs, or the addition of key international customers to restricted party lists can abruptly halt our sales in critical global markets. If we inadvertently violate these complex trade regulations, we could face severe civil and criminal penalties, the denial of export privileges, and substantial reputational harm, which would severely restrict our global revenue and disrupt our supply chain.

We may be subject to claims of intellectual property infringement, which are costly to defend and could disrupt our business.

The information technology industry is characterized by the existence of a vast number of patents, copyrights, trademarks, and trade secrets, and by frequent litigation based on allegations of infringement or other violations of intellectual property rights. As we expand our product portfolio and enter new markets, the risk that our solutions may inadvertently infringe upon the proprietary rights of third parties increases. We frequently receive notices and claims from competitors, non-practicing entities, and other third parties asserting that our hardware designs or software code infringe upon their patents or other intellectual property. Defending against these claims, regardless of their merit, is exceptionally costly, time-consuming, and diverts the attention of our management and engineering teams. If we are found liable for infringement, we could be required to pay substantial damages, subjected to injunctions that prevent us from selling key products, or forced to negotiate expensive licensing agreements. Any of these outcomes could materially adversely affect our financial condition and operational capabilities.

If we fail to adequately protect our own intellectual property rights, our competitive advantage could be eroded.

Our success depends heavily on our ability to create, protect, and enforce our proprietary technologies and intellectual property. We rely on a combination of patents, copyrights, trademarks, trade secrets, and confidentiality agreements to safeguard our innovations. However, these protective measures may be insufficient to prevent unauthorized use or misappropriation of our intellectual property. The process of obtaining patent protection is expensive and time-consuming, and there is no guarantee that our pending applications will be granted or that our issued patents will withstand legal challenges. Furthermore, the intellectual property laws of certain foreign countries where we operate or manufacture our products may not protect our rights to the same extent as the laws of the United States. If our competitors successfully reverse-engineer our products, or if departing employees misappropriate our trade secrets, we could

lose our technological differentiation. An inability to effectively protect our intellectual property would severely damage our competitive position and long-term financial prospects.

Our business is subject to strict environmental, social, and governance (ESG) regulations and increasing stakeholder expectations.
We operate in an environment where regulatory bodies, investors, customers, and employees are placing increasing emphasis on environmental, social, and governance matters. Various jurisdictions are implementing stringent regulations regarding greenhouse gas emissions, electronic waste disposal, energy efficiency of data center infrastructure, and the sourcing of conflict minerals in our supply chain. Compliance with these expanding environmental regulations requires significant capital expenditures and operational adjustments. Furthermore, if we fail to meet the sustainability targets we have publicly committed to, or if we are perceived to be lagging in our diversity, equity, and inclusion initiatives, we could face significant reputational damage. This could result in diminished investor confidence, difficulties in recruiting top talent, and the loss of customers who mandate strict ESG compliance from their technology vendors. The failure to effectively navigate the evolving ESG landscape could materially adversely affect our brand value and financial performance.

We are subject to the strict regulations and complex compliance requirements associated with government contracting.
A meaningful portion of our revenue is derived from contracts with federal, state, local, and foreign government agencies. Government contracting is subject to highly complex procurement regulations, strict accounting standards, and rigorous security clearance requirements. Our government contracts are generally subject to audit and investigation by various governmental agencies. If an audit uncovers improper or illegal activities, or if we fail to comply with the myriad of regulations governing public sector procurement, we could be subject to civil and criminal penalties, the cancellation of our contracts, and suspension or debarment from future government business. Additionally, government contracts are often subject to the availability of legislative appropriations; delays in passing government budgets or prolonged government shutdowns can disrupt our revenue streams and delay the collection of our accounts receivable, negatively impacting our cash flows and financial results.

General Risk Factors

The trading price of our common stock may be highly volatile and subject to wide fluctuations.
The stock market in general, and the market for technology companies in particular, has experienced extreme price and volume fluctuations that have often been unrelated or disproportionate to the operating performance of those companies. The trading price of our common stock could be subject to wide fluctuations in response to numerous factors, many of which are beyond our control. These factors include actual or anticipated variations in our quarterly financial results, changes in financial estimates by securities analysts, announcements of technological innovations or new products by us or our competitors, macroeconomic trends, and geopolitical events. This volatility may make it difficult for investors to assess the value of our stock and could cause the price of our shares to decline significantly, resulting in substantial losses for our stockholders.

Unforeseen catastrophic events, including natural disasters, pandemics, and geopolitical conflicts, could severely disrupt our business operations.
Our global operations, including our corporate headquarters, research and development centers, and manufacturing facilities, as well as the operations of our suppliers and customers, are vulnerable to interruption by catastrophic events. Natural disasters such as earthquakes, hurricanes, floods, and wildfires, which may be exacerbated by climate change, can damage our facilities and disrupt our supply chains. Public health crises and pandemics can lead to widespread operational paralysis, travel restrictions, and labor shortages. Furthermore, geopolitical conflicts, acts of terrorism, and the outbreak of war can destabilize regional economies, disrupt international logistics networks, and depress global demand for our products. The occurrence of any such catastrophic event could cause severe disruptions to our business operations, result in significant physical damage or inventory losses, and materially adversely affect our financial condition and results of operations.

Item 1B. Unresolved Staff Comments

None.

Item 1C. Cybersecurity

Risk Management and Strategy

At Lonvental Systems, Inc., we recognize that robust cybersecurity is foundational to our operations and critical to maintaining the trust of our global customer base. We have established a comprehensive cybersecurity risk management program designed to identify, assess, and mitigate threats to our corporate infrastructure, intellectual property, and the sensitive data entrusted to us. This program is deeply integrated into our broader enterprise risk management framework, ensuring that information security considerations are embedded in our strategic planning across our Cloud and Infrastructure Solutions, Software and Analytics, and Global Services segments.

Our dedicated information security organization continuously monitors the evolving threat landscape and adapts our defensive postures accordingly. We employ a defense-in-depth strategy that utilizes advanced technical safeguards, including endpoint detection and response capabilities, network segmentation, and pervasive data encryption. To validate the efficacy of these controls, we conduct frequent internal vulnerability assessments and engage independent, industry-recognized cybersecurity firms to perform rigorous penetration testing. These proactive measures allow us to identify potential weaknesses in our systems and remediate them before they can be exploited by malicious actors.

Collaboration is a cornerstone of our security strategy. Our information security team works closely with internal departments, including legal, human resources, product engineering, and corporate communications. This cross-functional approach ensures that security protocols are incorporated throughout the product development lifecycle and that our compliance with global data protection regulations is maintained. Furthermore, we mandate comprehensive security awareness training for all personnel upon hire and on a recurring basis. This training covers critical topics such as identifying phishing attempts, safeguarding confidential information, and adhering to our corporate acceptable use policies.

Given the complex global supply chain required to manufacture our hardware and the extensive network of service providers supporting our cloud infrastructure, third-party risk management is a critical component of our cybersecurity strategy. We have implemented a rigorous vendor assessment process that evaluates the security posture of prospective suppliers and partners. Third parties that process sensitive information or provide critical components are required to demonstrate compliance with recognized security standards and are subject to contractual obligations that mandate stringent data protection measures. We also require our vendors to promptly report any security incidents that could potentially impact Lonvental Systems or our customers.

We maintain a comprehensive incident response plan that outlines specific procedures for detecting, containing, and eradicating security breaches. This plan is regularly tested through tabletop exercises involving senior leadership and technical teams. To date, we have not experienced any cybersecurity incidents that have had a material adverse effect on our business operations, financial condition, or results of operations. However, the threat landscape remains highly dynamic. For a more detailed discussion of the cybersecurity risks we face, please refer to the risk factors outlined in Item 1A of this Annual Report.

Governance

The Board of Directors holds ultimate responsibility for the oversight of our enterprise risk management program, including risks associated with cybersecurity and data privacy. The Board has delegated the primary oversight of these specific risks to the Audit and Risk Committee. This committee consists entirely of independent directors who possess a strong understanding of enterprise risk and information technology governance. The Audit and Risk Committee receives regular, detailed briefings on our cybersecurity posture, emerging threats, and the status of ongoing security initiatives.

At the management level, our cybersecurity strategy and operational execution are led by our Chief Information Security Officer. The Chief Information Security Officer is responsible for developing and implementing our overarching information security policies, overseeing the deployment of technical controls, and leading our incident response efforts. This role involves continuous coordination with our executive leadership team to ensure that our security investments align with our broader business objectives and risk tolerance.

Our Chief Information Security Officer reports directly to our Chief Information Officer and provides formal presentations to the Audit and Risk Committee on a recurring basis. These presentations cover a wide range of topics, including the results of recent security assessments, updates on significant threat intelligence, the status of compliance audits, and any notable security incidents. In the event of a critical cybersecurity event, our escalation protocols require the immediate notification of the Chief Information Security Officer, the executive leadership team, and the Audit and Risk Committee.

The individual serving as our Chief Information Security Officer brings extensive experience in enterprise cybersecurity, information risk management, and regulatory compliance. Their background includes leading global security organizations within the technology sector and managing complex incident response operations. The Chief Information Security Officer holds advanced academic degrees in relevant technical disciplines and maintains highly regarded professional security certifications. Supporting the Chief Information Security Officer is a global team of specialized security professionals comprising experts in cloud security architecture, digital forensics, threat hunting, and identity management.

Item 2. Properties

General

We operate our business through a global network of facilities, comprising both owned and leased properties, to support our manufacturing, research and development, sales, and administrative functions. Our facilities are strategically located across the Americas, Europe, the Middle East, Africa, and the Asia-Pacific regions to efficiently serve our diverse, global customer base. We believe that our existing properties are in good condition, adequately maintained, and suitable for their intended purposes. Furthermore, we consider our current facilities to be sufficient to meet our operational requirements for the foreseeable future, and we continuously evaluate our real estate portfolio to ensure alignment with our evolving business needs and cost-efficiency targets.

Corporate Headquarters

Our principal executive offices are located in Minneapolis, Minnesota. This expansive campus serves as the central hub for our global corporate functions, including executive management, corporate finance, legal, human resources, and strategic planning. The Minneapolis campus also houses significant research and development laboratories and customer briefing centers. We own the majority of the buildings comprising our corporate headquarters, which provides us with long-term stability and operational control over our core administrative infrastructure.

Cloud and Infrastructure Solutions Facilities

The operations of our Cloud and Infrastructure Solutions segment require substantial physical infrastructure for manufacturing, assembly, testing, and distribution. We maintain large-scale manufacturing and hardware assembly plants primarily in North America, Europe, and Asia. The majority of our high-volume production facilities are owned, allowing us to implement highly customized, automated assembly lines tailored to our advanced compute and storage hardware. In addition to these manufacturing sites, we lease several extensive regional distribution centers and logistics hubs worldwide to ensure the rapid fulfillment of customer orders. This segment also utilizes specialized, owned research and development facilities equipped with advanced thermal and power testing environments necessary for the engineering of our next-generation server and networking architectures.

Software and Analytics Facilities

Our Software and Analytics segment operates predominantly out of leased office spaces located in major technology corridors globally. These facilities primarily support software engineering, product management, and technical sales personnel. By leasing these spaces, we maintain the flexibility to scale our footprint in response to talent availability and localized workforce dynamics. Additionally, to support our software-as-a-service offerings and internal infrastructure, we lease space in numerous co-location data centers across multiple geographic regions. We also own a select number of highly secure, purpose-built data centers that host mission-critical cloud platforms and advanced artificial intelligence development environments.

Global Services Facilities

The Global Services segment operates through a distributed network of leased delivery centers, technical support hubs, and regional consulting offices. Our global delivery centers are strategically situated in regions with deep pools of technical talent to provide round-the-clock managed services, remote infrastructure monitoring, and IT support to our customers. Because this segment is highly personnel-driven and requires proximity to enterprise clients, we primarily rely on flexible, leased office spaces in major metropolitan areas. This leasing strategy enables us to rapidly adjust our real estate footprint as our consulting engagements and managed services contracts fluctuate across different markets.

Item 3. Legal Proceedings

From time to time, Lonvental Systems, Inc. and its subsidiaries are involved in various legal proceedings, lawsuits, claims, and regulatory inquiries arising in the ordinary course of our business. These matters typically encompass commercial disputes with customers and suppliers, intellectual property infringement allegations, employment and labor disputes, product liability and warranty claims, and regulatory compliance issues. Given the global scale of our operations and the complex technological environments in which we operate, we are frequently subject to litigation and administrative proceedings across multiple domestic and international jurisdictions.

As a provider of advanced computing infrastructure, intelligent software platforms, and global services, we operate in an industry characterized by frequent and extensive intellectual property litigation. We are regularly subject to claims alleging the infringement of patents, copyrights, trademarks, or trade secrets. These claims are frequently brought by non-practicing entities whose primary business model relies on the assertion of intellectual property rights, as well as by competitors seeking to protect their proprietary technologies. Furthermore, our commercial contracts often include indemnification provisions under which we agree to defend and hold harmless our customers against certain intellectual property infringement claims. We vigorously defend against all such allegations and, when appropriate, initiate litigation to protect our own intellectual property assets.

In addition to intellectual property matters, our Software and Analytics and Global Services segments involve the processing and management of significant volumes of sensitive enterprise data. Consequently, we occasionally receive inquiries, subpoenas, and investigative requests from governmental and regulatory authorities regarding data privacy, cybersecurity practices, artificial intelligence deployment, and general corporate compliance. We cooperate fully with regulatory authorities in responding to such inquiries and continuously evaluate our internal policies to ensure alignment with evolving legal and ethical standards.

We record a liability for legal proceedings when we determine that a loss is both probable and reasonably estimable. Based on our current knowledge and upon consultation with external legal counsel, our management does not expect that the ultimate resolution of any currently pending legal proceedings or regulatory inquiries, either individually or in the aggregate, will have a material adverse effect on our consolidated financial condition, results of operations, or cash flows. However, the outcome of litigation and regulatory matters is inherently unpredictable. An unfavorable resolution of one or more of these matters could have a material adverse impact on our financial results for the specific reporting period in which such resolution occurs or require us to alter our business practices.

Item 4. Mine Safety Disclosures

Not applicable.

PART II

Item 5. Market for Registrant's Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

Market Information

Our common stock is traded on The Nasdaq Stock Market LLC under the symbol "LONT".

Dividends

We paid cash dividends of $680 million in fiscal 2024. Future dividends are subject to declaration by our Board of Directors and will depend on our earnings, financial condition and capital requirements.

Issuer Purchases of Equity Securities

We did not make net repurchases of our common stock during the fiscal year.

Item 6. [Reserved]

Not applicable.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion and analysis of our financial condition and results of operations should be read in conjunction with the consolidated financial statements and related notes thereto included in Item 8 of this Annual Report on Form 10-K. This section generally discusses our financial performance for the fiscal year ended December 31, 2024, compared to the fiscal year ended December 31, 2023. Certain statements in this discussion and analysis contain forward-looking statements that involve risks and uncertainties. Our actual results could differ materially from those anticipated in these forward-looking statements as a result of various factors, including those set forth under Item 1A, "Risk Factors," and elsewhere in this Annual Report.

Overview

Lonvental Systems, Inc. is a leading global provider of information technology solutions, software, and services. We empower enterprises, government agencies, and organizations to navigate digital transformation through our comprehensive portfolio of advanced computing infrastructure, intelligent software platforms, and global technology services. Our business is organized into three primary reportable segments: Cloud and Infrastructure Solutions, Software and Analytics, and Global Services. We design our solutions to optimize operational efficiency, enhance data security, and accelerate the adoption of emerging technologies, including artificial intelligence, machine learning, and edge computing.

Fiscal 2024 was a year of significant financial growth and strategic execution for Lonvental Systems. We experienced robust demand across our portfolio, driven by enterprise investments in artificial intelligence infrastructure, hybrid cloud deployments, and advanced cybersecurity solutions. Total revenue for the fiscal year ended December 31, 2024, was $44,790 million, representing an increase of 16.7% from the prior fiscal year. Our strategic shift toward consumption-based and subscription-based business models continued to yield positive results, contributing to a higher mix of recurring revenue and improved visibility into future cash flows.

Throughout the year, we navigated a complex macroeconomic environment characterized by fluctuating interest rates, foreign currency volatility, and evolving global supply chain dynamics. While we experienced some stabilization in component availability compared to prior years, the procurement of advanced microprocessors and memory chips required for our high-density compute platforms remained highly competitive. We proactively managed these challenges by diversifying our supplier base, entering into long-term purchase commitments, and optimizing our inventory levels. These efforts, combined with our disciplined pricing strategies and a favorable shift in product mix toward higher-margin software solutions, enabled us to expand our gross margin and operating margin.

We continued to invest heavily in innovation, dedicating substantial resources to the research and development of our next-generation hardware architectures and software platforms. Our investments are aligned with our long-term strategic vision to provide end-to-end capabilities that allow our customers to harness the full potential of their data. We also executed on our capital allocation priorities, balancing reinvestment in the business with returns to our stockholders through dividends and share repurchases, while maintaining a strong liquidity position to support future growth initiatives.

Results of Operations

Revenue

Total revenue for the fiscal year ended December 31, 2024, was $44,790 million, compared to $38,387 million for the fiscal year ended December 31, 2023. The revenue growth of 16.7% was driven by strong performance across all three of our reportable segments, with particularly high demand for our Cloud and Infrastructure Solutions and our Software and Analytics offerings.

In our Cloud and Infrastructure Solutions segment, revenue growth was primarily fueled by enterprise and hyperscale data center investments in our latest generation of servers optimized for artificial intelligence and machine learning workloads. Customers increasingly sought high-density compute platforms integrated with advanced accelerators to process complex algorithms and manage massive datasets. Additionally, we saw solid adoption of our edge storage solutions and software-defined networking products, as organizations continued to distribute their IT infrastructure closer to the point of data generation. Our flexible consumption-based

deployment models also contributed to revenue growth, as customers appreciated the ability to align their infrastructure costs with actual usage.

Our Software and Analytics segment experienced significant revenue expansion, largely attributable to the continued transition of our customer base to software-as-a-service and subscription-based licensing models. Demand was particularly strong for our data management and analytics platforms, which enable organizations to extract actionable insights from hybrid cloud environments. We also saw increased sales of our dedicated cybersecurity software, driven by a heightened global threat landscape and the need for robust endpoint protection and identity management solutions. The recurring nature of our subscription contracts in this segment provides a stable foundation for ongoing revenue generation.

Revenue in our Global Services segment also increased, reflecting higher volumes of consulting and implementation engagements related to digital transformation initiatives. As customers deploy increasingly complex multi-cloud architectures and artificial intelligence frameworks, they rely on our deep engineering expertise to ensure seamless integration and optimization. Furthermore, our managed services offerings grew as more organizations chose to offload the day-to-day administration of their IT environments to our global delivery centers.

Cost of Revenue and Gross Margin

Cost of revenue for the fiscal year ended December 31, 2024, was $18,032 million, compared to $15,494 million for the fiscal year ended December 31, 2023. Gross profit was $26,758 million in fiscal 2024, compared to $22,893 million in fiscal 2023. Our gross margin percentage for the current fiscal year was 59.7%, a slight improvement from the gross margin percentage of 59.6% in the prior fiscal year.

The increase in absolute cost of revenue was primarily driven by the higher volume of hardware and software products sold, as well as increased personnel costs associated with the delivery of our Global Services. Within our hardware operations, we experienced elevated costs for certain specialized semiconductor components and advanced memory modules due to strong global demand for artificial intelligence infrastructure. Additionally, freight and logistics costs remained elevated, although we observed some moderation in spot rates during the second half of the year.

Despite the higher component and delivery costs, we successfully expanded our gross margin percentage. This improvement was largely the result of a favorable shift in our overall product mix. Our Software and Analytics segment, which carries significantly higher gross margins than our hardware-centric offerings, represented a larger proportion of total revenue in fiscal 2024. Furthermore, within the Cloud and Infrastructure Solutions segment, we realized pricing leverage on our premium, AI-optimized servers, which offset the increased component costs. We also achieved operational efficiencies in our managed services delivery through the implementation of automated monitoring tools and predictive maintenance algorithms, which reduced the manual labor required to support our customers' IT environments.

Research and Development

Research and development expenses for the fiscal year ended December 31, 2024, were $8,627 million, compared to $7,503 million for the fiscal year ended December 31, 2023. As a percentage of revenue, research and development expenses were 19.3% in the current fiscal year, compared to 19.5% in the prior fiscal year.

The increase in absolute research and development spending reflects our commitment to maintaining technology leadership in a rapidly evolving industry. During fiscal 2024, we accelerated our investments in the design and engineering of next-generation compute and storage architectures, with a specific focus on enhancing thermal management and power efficiency for high-density artificial intelligence workloads. We also directed substantial resources toward the expansion of our software portfolio, including the development of new machine learning frameworks, the integration of advanced behavioral analytics into our cybersecurity platforms, and the continuous enhancement of our hybrid cloud management interfaces. The increase in expenses was primarily driven by higher headcount and related compensation costs for software engineers and hardware designers, as well as increased expenditures for prototyping materials and cloud-based testing environments. The slight decrease in research and development expenses as a percentage of revenue demonstrates our ability to scale our engineering operations efficiently while driving significant top-line growth.

Selling, General and Administrative

Selling, general and administrative expenses for the fiscal year ended December 31, 2024, were $6,329 million, compared to $5,386 million for the fiscal year ended December 31, 2023. As a percentage of revenue, selling, general and administrative expenses were 14.1% in the current fiscal year, compared to 14.0% in the prior fiscal year.

The increase in selling, general and administrative expenses was primarily driven by the expansion of our global sales force and increased marketing investments. To capitalize on the growing demand for our software-as-a-service offerings and consumption-based infrastructure models, we hired additional direct sales personnel and technical account managers across key geographic regions. We also incurred higher commission expenses directly correlated with the robust revenue growth achieved during the year. Marketing expenses increased as we executed global campaigns to promote our new enterprise automation software and hosted several large-scale customer and partner conferences. General and administrative costs rose due to higher investments in our internal information technology systems, increased compliance and regulatory expenditures, and higher professional fees for legal and consulting services.

Other Operating Expense

Other operating expense for the fiscal year ended December 31, 2024, was $2,687 million, compared to $2,303 million for the fiscal year ended December 31, 2023.

The increase in other operating expense was primarily associated with strategic restructuring initiatives and facility consolidation efforts. During fiscal 2024, we commenced a targeted realignment of our global workforce to better position our resources toward high-growth areas such as artificial intelligence and cloud-native software development. This initiative resulted in severance and related employee transition costs. Additionally, as we continued to optimize our real estate portfolio in response to hybrid work models, we incurred lease termination fees and accelerated depreciation charges related to the closure of certain underutilized administrative offices and regional distribution centers. Other operating expense also includes costs related to the integration of minor technology acquisitions completed during the year, as well as amortization of acquired intangible assets.

Operating Income

Operating income for the fiscal year ended December 31, 2024, was $9,115 million, compared to $7,701 million for the fiscal year ended December 31, 2023. The operating income growth of 18.4% reflects the strong revenue expansion and our ability to drive operating leverage across the business. Our operating margin percentage for the current fiscal year was 20.4%, an improvement from the operating margin percentage of 20.1% in the prior fiscal year. The expansion in operating margin was primarily driven by the higher gross margin profile of our software and services mix, partially offset by our strategic investments in research and development and sales capacity.

Interest Expense

Interest expense for the fiscal year ended December 31, 2024, was $1,508 million, compared to $1,296 million for the fiscal year ended December 31, 2023. The increase in interest expense was primarily due to a higher average outstanding balance of long-term debt during fiscal 2024, as we issued new senior unsecured notes to support our capital allocation strategies and general corporate purposes. Additionally, a portion of our floating-rate debt instruments incurred higher interest charges due to the elevated interest rate environment that persisted throughout the year.

Provision for Income Taxes

Income before income taxes for the fiscal year ended December 31, 2024, was $7,607 million, compared to $6,405 million for the fiscal year ended December 31, 2023. The provision for income taxes was $2,662 million in fiscal 2024, compared to $2,242 million in fiscal 2023.

Our effective tax rate was 35.0% for the current fiscal year, which remained consistent with the effective tax rate of 35.0% in the prior fiscal year. The effective tax rate is impacted by the geographic mix of our earnings, as we operate in numerous jurisdictions with varying statutory tax rates. During both fiscal 2024 and fiscal 2023, the effective tax rate was influenced by non-deductible expenses, state and local income taxes, and the impact of global minimum tax regulations enacted in certain international jurisdictions where we operate. We continue to monitor evolving global tax legislation and assess its potential impact on our future provision for income taxes.

Net Income

Net income for the fiscal year ended December 31, 2024, was $4,945 million, compared to $4,163 million for the fiscal year ended December 31, 2023. The net income growth of 18.8% was a direct result of our strong operating performance, higher revenue volumes, and expanded operating margins, partially offset by increased interest expense and higher absolute income tax provisions. Our net margin percentage for the current fiscal year was 11.0%, an increase from the net margin percentage of 10.8% in the prior fiscal year.

Liquidity and Capital Resources

Our principal sources of liquidity are our cash and cash equivalents, cash generated from operating activities, and access to capital markets. We believe that our current cash balances, anticipated cash flows from operations, and available borrowing capacity will be sufficient to meet our working capital requirements, capital expenditures, debt service obligations, and planned returns to stockholders for at least the next twelve months and for the foreseeable future thereafter.

As of December 31, 2024, our cash and cash equivalents totaled $31,472 million, an increase from $25,482 million as of December 31, 2023. We maintain our cash in highly liquid investments, primarily consisting of bank deposits, money market funds, and short-term government securities.

Our working capital dynamics are influenced by the timing of customer collections, inventory procurement cycles, and vendor payment terms. As of December 31, 2024, accounts receivable, net, were $12,062 million, an increase from $9,778 million at the end of the prior year. This increase was primarily driven by the higher volume of sales executed in the fourth quarter of fiscal 2024 compared to the same period in fiscal 2023. Inventories were $7,301 million as of December 31, 2024, an increase from $5,702 million in the prior year. The higher inventory levels reflect our strategic decision to secure critical electronic components and advanced microprocessors in advance of anticipated customer demand for our AI-optimized infrastructure solutions, thereby mitigating potential supply chain disruptions. Other current assets were $324 million, and total current assets stood at $51,159 million. Total current liabilities were $24,102 million, resulting in a strong working capital position.

Operating Activities

Net cash provided by operating activities for the fiscal year ended December 31, 2024, was $7,485 million. Operating cash flows were primarily generated by our net income of $4,945 million, adjusted for non-cash items including depreciation and amortization of $1,644 million. Changes in working capital and other operating assets and liabilities contributed an additional $896 million to operating cash flows. The positive contribution from working capital changes was largely driven by an increase in deferred revenue associated with our growing software-as-a-service and consumption-based contracts, as well as an increase in accounts payable reflecting favorable payment terms negotiated with our contract manufacturers, which offset the cash outflows related to higher accounts receivable and inventory balances.

Investing Activities

Net cash used in investing activities for the fiscal year ended December 31, 2024, was $6,184 million. This cash outflow was primarily composed of purchases of property and equipment totaling $766 million and other investing activities, net, of $5,418 million. Our capital expenditures were primarily directed toward the expansion of our manufacturing facilities, the enhancement of our internal research and development laboratories, and the build-out of highly secure data centers to support our proprietary cloud platforms. The other investing activities, net, largely consisted of strategic acquisitions of specialized software companies to augment our cybersecurity and artificial intelligence capabilities, as well as the purchase of long-term marketable securities as part of our corporate treasury management strategy.

Financing Activities

Net cash from financing activities for the fiscal year ended December 31, 2024, was an inflow of $4,689 million. This was primarily driven by a net change in long-term debt of $4,716 million, resulting from the issuance of new senior unsecured notes during the year to optimize our capital structure and secure long-term funding at attractive rates. The proceeds from these debt issuances were partially offset by returns of capital to our stockholders. During fiscal 2024, we paid cash dividends totaling $680 million. Additionally, share repurchases, net of issuances, generated a net cash inflow of $653 million, reflecting proceeds from the exercise of employee stock options and the issuance of shares under our employee stock purchase plan, which exceeded the cash utilized for open-market repurchases of our common stock under our authorized share repurchase program.

As of December 31, 2024, our total long-term debt was $33,518 million, an increase from $28,802 million at the end of the prior fiscal year. Our debt portfolio consists primarily of fixed-rate senior notes with staggered maturities to minimize refinancing risk. We maintain compliance with all financial covenants associated with our credit facilities and debt indentures. Our total stockholders' equity as of December 31, 2024, was $37,720 million, and our total assets were $98,288 million.

Critical Accounting Estimates

The preparation of our consolidated financial statements in accordance with generally accepted accounting principles requires management to make judgments, estimates, and assumptions that affect the reported amounts of assets, liabilities, revenue, and expenses, as well as the disclosure of contingent assets and liabilities. We base our estimates on historical experience, current market conditions, and various other assumptions that we believe to be reasonable under the circumstances. Actual results could differ materially from these estimates if underlying conditions or assumptions change. We consider the following accounting estimates to be the most critical to understanding our financial condition and results of operations, as they require significant management judgment and involve a high degree of complexity.

Revenue Recognition

We generate revenue from the sale of hardware, software licenses, software-as-a-service subscriptions, and a variety of professional and managed services. Many of our customer contracts involve multiple performance obligations, requiring us to allocate the total transaction price to each distinct product or service based on its relative standalone selling price. Determining the standalone selling price often requires significant judgment, particularly for highly customized software solutions or emerging technologies that are not sold separately. We utilize various estimation methods, including the expected cost plus a margin approach and the adjusted market assessment approach, to determine the standalone selling price.

Furthermore, our transition to consumption-based infrastructure models requires us to estimate customer usage patterns to accurately recognize revenue over the contract term. For software-as-a-service and managed services contracts, revenue is generally recognized ratably over the subscription period. Changes in our pricing strategies, the introduction of new bundled offerings, or shifts in market conditions could impact our determination of standalone selling prices and alter the timing and amount of revenue recognized in future periods.

Inventory Valuation

We value our inventory at the lower of cost or net realizable value. Cost is generally determined using the standard cost method, which approximates actual cost on a first-in, first-out basis. The technology industry is characterized by rapid technological obsolescence, frequent new product introductions, and volatile component pricing. Consequently, we must continuously evaluate our inventory balances for excess quantities and obsolescence.

We record write-downs to reduce the carrying value of inventory based on our assumptions about future demand, product life cycles, and market conditions. Estimating future demand requires significant judgment, particularly for long-lead-time components and newly introduced hardware platforms. If actual market conditions are less favorable than those projected by management, or if unexpected technological shifts render our products uncompetitive, additional inventory write-downs may be required. Such write-downs would directly increase our cost of revenue and negatively impact our gross profit.

Goodwill Impairment

As of December 31, 2024, our consolidated balance sheet included $26,343 million of goodwill, representing a significant portion of our total assets. Goodwill is not amortized but is tested for impairment at the reporting unit level annually during the fourth quarter, or more frequently if events or changes in circumstances indicate that the carrying amount may not be recoverable.

Our impairment testing involves estimating the fair value of each reporting unit and comparing it to its carrying value. We primarily determine fair value using an income approach based on a discounted cash flow model. This model requires management to make significant assumptions regarding future revenue growth rates, operating margins, working capital requirements, and discount rates. These assumptions are inherently uncertain and reflect our best estimates of future business performance and macroeconomic conditions. A prolonged economic downturn, a failure to execute our strategic initiatives, or an increase in the weighted average cost

of capital could result in a determination that the fair value of one or more reporting units is less than its carrying value, necessitating a material non-cash impairment charge.

Income Taxes

We are subject to income taxes in the United States and numerous foreign jurisdictions. The determination of our global provision for income taxes requires complex calculations and significant management judgment. We account for income taxes using the asset and liability method, under which deferred tax assets and liabilities are recognized for the expected future tax consequences of temporary differences between the financial statement carrying amounts and the tax bases of assets and liabilities.

We must assess the likelihood that our deferred tax assets will be realized in future periods. To the extent we believe that realization is not more likely than not, we establish a valuation allowance. This assessment requires us to forecast future taxable income across various jurisdictions and evaluate available tax planning strategies. Furthermore, our operations involve significant intercompany transactions and transfer pricing arrangements that are subject to scrutiny by global tax authorities. We record liabilities for unrecognized tax benefits based on our assessment of the probability of successfully sustaining our tax positions upon audit. If the ultimate resolution of these tax matters differs from our recorded amounts, our provision for income taxes and effective tax rate could be materially impacted in the period of resolution.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to various market risks in the ordinary course of our business. These risks primarily include interest rate fluctuations, foreign currency exchange rate volatility, and commodity price changes. We regularly assess these market risks and have established policies and business practices designed to protect against the adverse effects of these and other potential exposures. We do not enter into derivative financial instruments for speculative or trading purposes.

Interest Rate Risk

Our exposure to market risk for changes in interest rates relates primarily to our investment portfolio and our long-term debt obligations. As of December 31, 2024, we held cash and cash equivalents of $31,472 million. Our investment strategy is focused on capital preservation and liquidity to support our ongoing operational and strategic initiatives. Our portfolio consists primarily of highly liquid, short-term instruments such as money market funds, commercial paper, and short-term government securities. Due to the short-term nature of these investments, we believe that a hypothetical immediate change in market interest rates would not have a material impact on the fair market value of our investment portfolio or our interest income.

We also have significant exposure to interest rate risk associated with our debt financing. As of December 31, 2024, our long-term debt was $33,518 million. For the fiscal year ended December 31, 2024, we recorded interest expense of $1,508 million. Our debt portfolio consists of a mix of fixed-rate and variable-rate instruments. The fair value of our fixed-rate debt is sensitive to changes in interest rates; a hypothetical increase in interest rates would result in a decrease in the fair value of our fixed-rate debt, while a decrease in rates would increase its fair value. However, because we generally intend to hold these fixed-rate obligations to maturity, such changes in fair value do not directly impact our earnings or cash flows. For our variable-rate debt, changes in interest rates directly affect our interest expense and operating cash flows. We periodically utilize interest rate swap agreements to manage our exposure to interest rate movements and to achieve a desired proportion of fixed-rate and variable-rate debt. A hypothetical increase in benchmark interest rates would result in an increase in our interest expense on unhedged variable-rate debt.

Foreign Currency Exchange Risk

Because we operate on a global scale, we transact business in numerous foreign currencies. Consequently, our financial results are subject to risks associated with fluctuations in foreign currency exchange rates. Our primary exposures include the Euro, the British Pound, the Japanese Yen, and the Chinese Yuan. We face both translation and transaction risks. Translation risk arises when the financial statements of our foreign subsidiaries are converted into US dollars for consolidation purposes. A broad strengthening of the US dollar relative to these foreign currencies would result in a decrease in our reported international revenue and earnings.

Transaction risk occurs when we or our subsidiaries enter into commercial contracts, such as sales or inventory purchases, denominated in currencies other than our respective functional currencies. To mitigate these risks, we maintain a foreign currency risk

management program that utilizes derivative financial instruments, primarily foreign exchange forward contracts and options. While these hedging activities offset a portion of our transaction exposure and protect our short-term cash flows, they do not completely eliminate the impact of currency fluctuations on our consolidated results of operations over the long term.

Commodity Price Risk

The manufacturing operations within our Cloud and Infrastructure Solutions segment rely on the procurement of various raw materials, base metals, and specialized electronic components, including memory chips, microprocessors, and custom application-specific integrated circuits. The prices of these commodities are subject to significant market volatility driven by global supply and demand dynamics, geopolitical events, and macroeconomic conditions. We generally manage our exposure to commodity price risk through strategic supply chain management, including entering into long-term purchase agreements with our suppliers, diversifying our sourcing channels, and maintaining strategic buffer inventories. We typically do not utilize derivative financial instruments to hedge commodity price risks. A hypothetical sustained increase in the prices of these critical components could result in a decrease in our gross margins if competitive pressures prevent us from passing these cost increases on to our customers through pricing adjustments.

Item 8. Financial Statements and Supplementary Data

Lonvental Systems, Inc.
Consolidated Statements of Operations
(in millions)

	Fiscal 2024	Fiscal 2023
Revenue	$ 44,790	$ 38,387
Cost of revenue	18,032	15,494
Gross profit	**26,758**	**22,893**
Research and development	8,627	7,503
Selling, general and administrative	6,329	5,386
Other operating expense	2,687	2,303
Operating income	**9,115**	**7,701**
Interest expense	1,508	1,296
Income before income taxes	**7,607**	**6,405**
Provision for income taxes	2,662	2,242
Net income	**$ 4,945**	**$ 4,163**

Lonvental Systems, Inc.
Consolidated Balance Sheets
(in millions)

	Fiscal 2024	Fiscal 2023
ASSETS		
Cash and cash equivalents	$ 31,472	$ 25,482
Accounts receivable, net	12,062	9,778
Inventories	7,301	5,702
Other current assets	324	2,156
Total current assets	**51,159**	**43,118**
Property, plant and equipment, net	17,859	15,212
Goodwill	26,343	23,038
Other non-current assets	2,927	2,559

Total assets	**$ 98,288**	**$ 83,927**
LIABILITIES AND STOCKHOLDERS' EQUITY		
Total current liabilities	**24,102**	**19,806**
Long-term debt	33,518	28,802
Other non-current liabilities	2,948	2,517
Total liabilities	**60,568**	**51,125**
Total stockholders' equity	**37,720**	**32,802**
Total liabilities and stockholders' equity	**$ 98,288**	**$ 83,927**

Lonvental Systems, Inc.
Consolidated Statement of Cash Flows
(in millions)

	Fiscal 2024
OPERATING ACTIVITIES	
Net income	$ 4,945
Depreciation and amortization	1,644
Changes in working capital and other	896
Net cash provided by operating activities	**7,485**
INVESTING ACTIVITIES	
Purchases of property and equipment	(766)
Other investing activities, net	(5,418)
Net cash used in investing activities	**(6,184)**
FINANCING ACTIVITIES	
Net change in long-term debt	4,716
Dividends paid	(680)
Share repurchases, net of issuances	653
Net cash used in financing activities	**4,689**
Net change in cash and cash equivalents	5,990
Cash and cash equivalents, beginning of year	25,482
Cash and cash equivalents, end of year	**$ 31,472**

Item 9. Changes in and Disagreements with Accountants on Accounting and Financial Disclosure

None.

Item 9A. Controls and Procedures

Evaluation of Disclosure Controls and Procedures

Our management, with the participation of our Chief Executive Officer and Chief Financial Officer, evaluated the effectiveness of our disclosure controls and procedures as of the end of the period covered by this report. Based on that evaluation, they concluded that our disclosure controls and procedures were effective.

Management's Report on Internal Control over Financial Reporting

Management is responsible for establishing and maintaining adequate internal control over financial reporting. Management assessed the effectiveness of our internal control as of December 31, 2024 using the criteria in Internal Control - Integrated Framework (2013) and concluded that it was effective. Our independent registered public accounting firm has issued an attestation report on our internal control over financial reporting.

Changes in Internal Control over Financial Reporting

There were no changes in our internal control over financial reporting during the fourth quarter that materially affected, or are reasonably likely to materially affect, our internal control over financial reporting.

Item 9B. Other Information

During the three months ended December 31, 2024, none of our directors or officers adopted or terminated a "Rule 10b5-1 trading arrangement" or "non-Rule 10b5-1 trading arrangement."

Item 9C. Disclosure Regarding Foreign Jurisdictions that Prevent Inspections

Not applicable.

PART III

Item 10. Directors, Executive Officers and Corporate Governance

The information required by this Item is incorporated by reference to our definitive Proxy Statement for the 2025 Annual Meeting of Stockholders, to be filed with the SEC within 120 days after the end of the fiscal year covered by this report.

Item 11. Executive Compensation

The information required by this Item is incorporated by reference to our definitive Proxy Statement for the 2025 Annual Meeting of Stockholders, to be filed with the SEC within 120 days after the end of the fiscal year covered by this report.

Item 12. Security Ownership of Certain Beneficial Owners and Management and Related Stockholder Matters

The information required by this Item is incorporated by reference to our definitive Proxy Statement for the 2025 Annual Meeting of Stockholders, to be filed with the SEC within 120 days after the end of the fiscal year covered by this report.

Item 13. Certain Relationships and Related Transactions, and Director Independence

The information required by this Item is incorporated by reference to our definitive Proxy Statement for the 2025 Annual Meeting of Stockholders, to be filed with the SEC within 120 days after the end of the fiscal year covered by this report.

Item 14. Principal Accountant Fees and Services

The information required by this Item is incorporated by reference to our definitive Proxy Statement for the 2025 Annual Meeting of Stockholders, to be filed with the SEC within 120 days after the end of the fiscal year covered by this report.

PART IV

Item 15. Exhibits and Financial Statement Schedules

(a) The following documents are filed as part of this report:

1. Financial Statements: see Item 8.

2. Financial Statement Schedules: schedules are omitted because they are not applicable or the information is included in the financial statements.

3. Exhibits: none are included with this synthetic filing.

Item 16. Form 10-K Summary

None.